

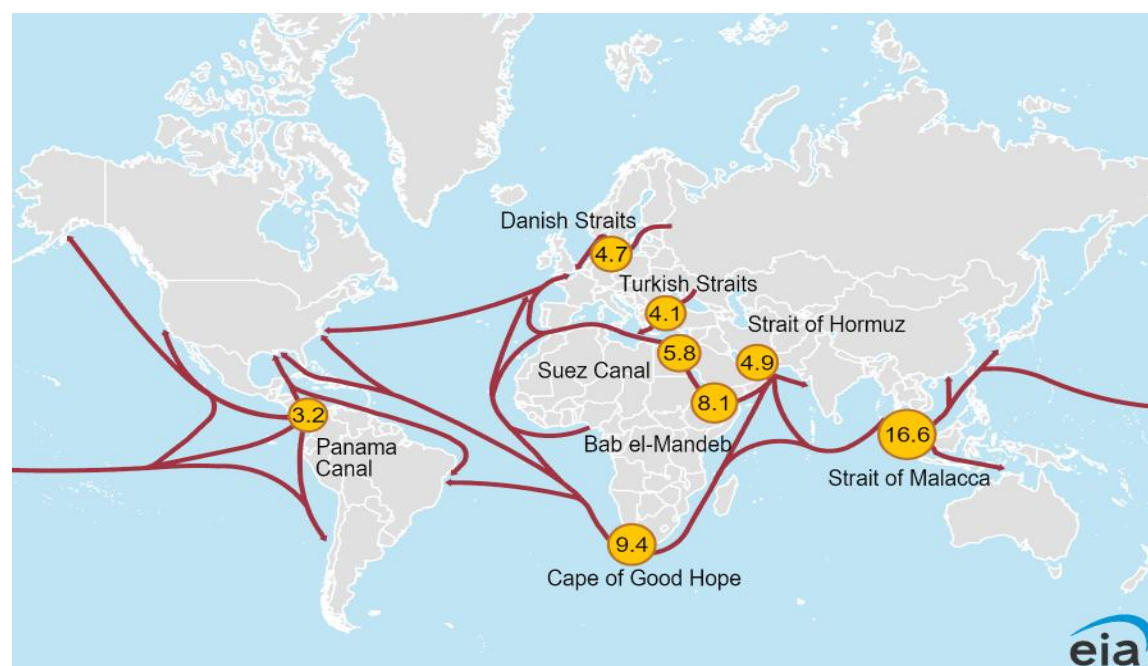
Global Oil Markets

Global oil prices

Following the signing in June of the memorandum of understanding between the United States and Iran, the spot price of Brent crude oil fell as low as \$69 per barrel (b) on July 2. Global crude oil prices rose and volatility increased later in July following renewed attacks on tankers transiting the Strait of Hormuz and the related reduction in oil shipments through the waterway. The Brent spot price reached as high as \$105/b on July 23.

In addition to renewed attacks on ships transiting the Strait of Hormuz, crude oil prices were driven higher due to a new blockade threat on Saudi Arabia's oil exports through the Bab el-Mandeb Strait. The Bab el-Mandeb is both a [major world oil transit chokepoint](#) and one of the alternative routes used to move Saudi Arabia's oil shipments while avoiding the Strait of Hormuz. Saudi Arabia retains the option to divert flows through the Suez Canal as well as via the Sumed pipeline in Egypt. However, these alternatives take longer, are more expensive, and are more limited in capacity.

Map of daily transit volumes of petroleum and other liquids through world maritime oil chokepoints, 2Q26
million barrels per day



Data source: U.S. Energy Information Administration (EIA) analysis, based on Vortexa tanker tracking; World Bank; and Panama Canal Authority data, using EIA conversion factors and calculations

Note: 2Q26=second quarter of 2026.

We estimate that [crude oil and petroleum liquids transported through the Strait of Hormuz](#) averaged 4.9 million barrels per day (b/d) in the second quarter of 2026 (2Q26), down from an average of 21.6 million b/d in 4Q25 before the conflict began. Similarly, total volumes of crude oil and liquids through the Bab el-Mandeb strait averaged 8.1 million b/d in 2Q26, up from an average of 5.4 million b/d in 4Q25 as

Saudi Arabia re-routed crude oil flows away from the Strait of Hormuz through the East-West pipeline to the port of Yanbu on the Red Sea.

We assess that production shut-ins averaged 5.5 million b/d in July. For this analysis, we assume that oil shipments through the Strait of Hormuz will remain severely constrained through August, with flows slowly increasing in September. This assumption is prompting us to raise our forecast of shut-in crude oil production in August, further reducing inventories. We do not assume that the recent threats to ships transporting Saudi Arabian crude oil through the Bab el-Mandeb strait have resulted in any additional shut-ins of crude oil production. If these assumptions hold, we expect it will take until early 2027 for production and trade patterns to generally return to pre-conflict status. We anticipate nonetheless that some producers around the Persian Gulf will not be able to bring oil output back to pre-conflict averages during the STEO forecast period.

Table 1. Estimated Strait of Hormuz closure-related disruptions in crude oil production
thousand barrels per day

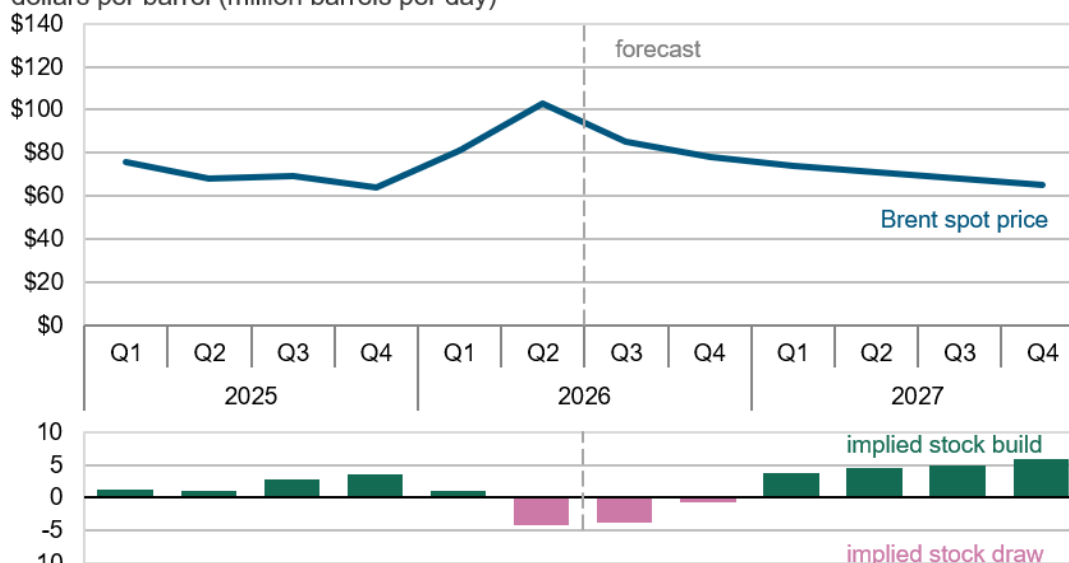
Country	Production Feb-26	Estimated shut-ins Mar-26–May-26 Average	Estimated shut-ins Jun-26	Estimated shut-ins Jul-26	Forecast shut-ins 3Q26	Forecast shut-ins 4Q26	Forecast shut-ins 1Q27
Kuwait	2,560	1,400	1,250	950	We only forecast aggregate disruptions for future months.		
UAE	3,600	1,450	0	0			
Iran	3,390	110	580	100			
Iraq	4,400	2,820	2,530	1,860			
Qatar	557	450	420	350			
Bahrain	193	120	150	130			
Saudi Arabia	10,500	2,500	2,550	2,070			
Total	25,200	10,050	7,480	5,460	6,573	4,200	1,637

Data source: U.S. Energy Information Administration

Because of the large drawdown in global inventories triggered by continued disruptions in the Strait of Hormuz, we forecast that oil prices will remain elevated until global oil flows return to normal and oil inventories are replenished. We estimate that global oil inventories fell by an average of 4.2 million b/d in 2Q26 and that they will fall by an additional 3.8 million b/d on average in 3Q26. As a result, we forecast the Brent crude oil spot price will average around \$85/b in 3Q26, \$11/b higher than in last month's STEO. Once the traffic through the Strait of Hormuz gradually increases and shut-in oil production increasingly restarts, we forecast oil prices will begin to fall, decreasing to an average of \$78/b by 4Q26. We assess that most shut-in oil production will be largely restored in 1Q27 and that global oil inventories will again start building, gradually lowering oil prices to an average of \$69/b in 2027.

Brent crude oil spot price and global inventory changes

dollars per barrel (million barrels per day)



Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, August 2026

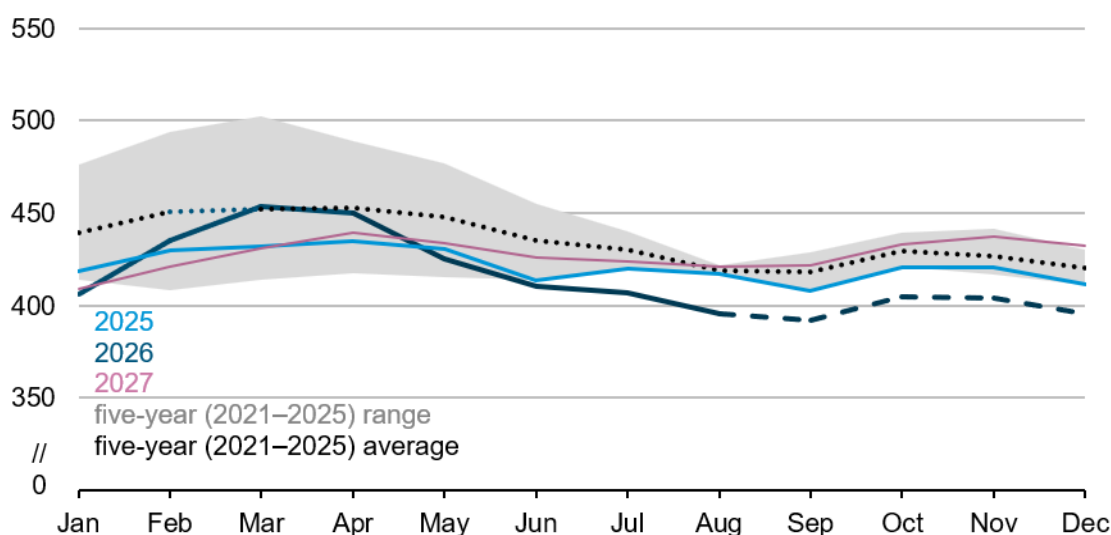
U.S. Petroleum Products

U.S. crude oil inventories

We expect commercial crude oil inventories in the United States to be below the five-year (2021–2025) low through the end of 2026 because of high refinery runs and lower net imports.

U.S. end of period commercial inventories of crude oil

million barrels



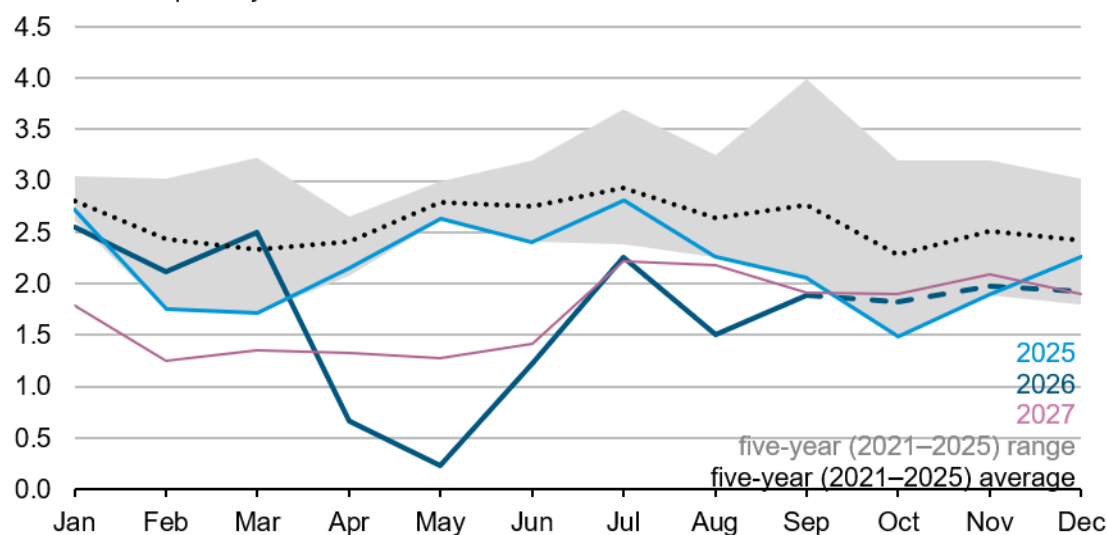
Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, August 2026

In April and May 2026, U.S. net imports of crude oil fell below 1 million barrels per day (b/d) as exports of crude oil from the United States surged to [historically high levels](#) and crude oil imports fell. Starting around mid-April, increased exports combined with decreased imports put pressure on U.S. stocks,

which declined every week from April 17 to June 26. Increasing refinery runs in May also contributed to inventory draws, after refiners completed seasonal maintenance. After ending April around the five-year average, U.S. commercial crude oil stocks decreased by 25 million barrels in May, 15 million barrels in June, and 4 million barrels in July. We forecast net imports of crude oil to remain below average through the end of our forecast because of relatively high international demand for U.S. crude oil exports and lower U.S. imports, keeping inventories low.

U.S. net imports of crude oil

million barrels per day



Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, August 2026

This outlook assumes no additional releases of crude oil from the U.S. Strategic Petroleum Reserve beyond the levels [announced on March 13, 2026](#).

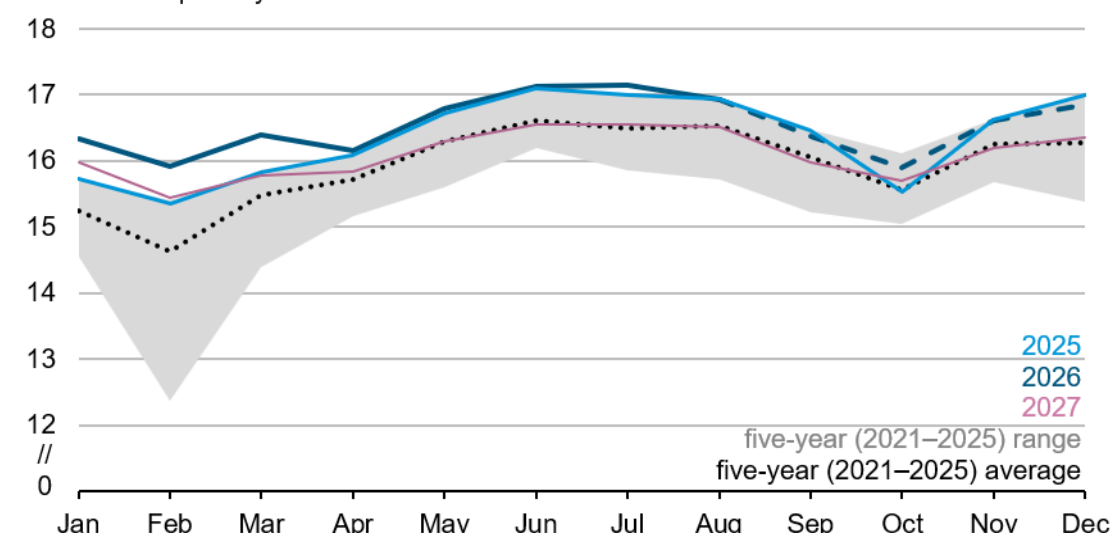
U.S. refinery inputs

We expect high [crack spreads](#), an indicator of refinery profitability, through the end of 2026 will result in relatively high crude oil inputs to refineries. Through the first seven months of the year, crude oil inputs to refineries have been the highest since 2019, and we forecast net inputs will remain near the top of the five year (2021–2025) range through the end of the year.

We expect U.S refinery demand for crude oil will be about 17 million b/d through August, in line with the five-year average. In September and October, we expect refiners to reduce utilization and crude oil inputs for seasonal maintenance, dropping below 16 million b/d on average in October, resulting in reduced petroleum product production during that period. In November and December, we estimate refinery production to increase, while remaining below 17 million b/d, as refiners seek to capitalize on higher-than-average margins.

U.S. refiner net inputs of crude oil

million barrels per day

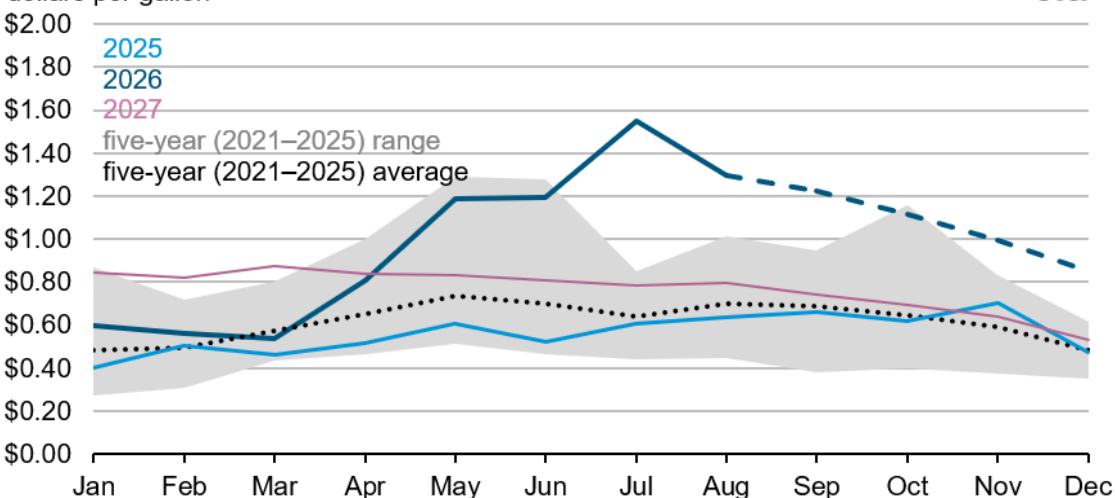


Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, August 2026

We estimate refinery margins in July have increased because of tighter global refined product market conditions. Lower refined product exports from Russia, the resumption of conflict around the Strait of Hormuz (limiting the flow of products from refineries in Saudi Arabia and Kuwait), and reduced crude runs through refineries in China have all contributed to lower global refining activity. We estimate that these factors will contribute to ongoing tightness in global petroleum product markets, thereby supporting refinery margins for U.S. refiners through the end of the year.

3-2-1 crack spread

dollars per gallon



Data source: U.S. Energy Information Administration, *Short-Term Energy Outlook*, August 2026

Note: The 3-2-1 crack spread is calculated by subtracting the cost of three gallons of crude oil from the sum of two gallons of gasoline and one gallon of diesel, then dividing the difference by three.